CONFIDENTIAL
Enron Corp.
Case No. EC-2002-01038
Doc No. E5B4AA513
Date: 01/15/2003
ENRON CORP. - PRODUCED PURSUANT TO FERC SUBPOENA.
SUBJECT TO PROTECTIVE ORDER. CONFIDENTIAL TREATMENT REQUESTED.
RELEASE IN FULL

From: Vince J Kaminski <vince.kaminski@enron.com>
Sent: Fri, 4 Feb 2000 10:14:00 -0800 (PST)
To: vkaminski@aol.com
Subject: El Paso / ENA Deal Completely Terminated Now

---------- Forwarded by Vince J Kaminski/HOU/ECT on 02/04/2000 06:14 PM ----------

Kimberly Watson@ENRON
02/04/2000 04:12 PM
To: Vince J Kaminski/HOU/ECT@ECT
cc:
Subject: El Paso / ENA Deal Completely Terminated Now

I'm sure you have already heard this, but here is a summary. Kim.
---------- Forwarded by Kimberly Watson/ET&S/Enron on 02/04/2000 04:11 PM ----------
ET & S Business Intelligence
From: Lorna Brennan on 02/04/2000 02:30 PM
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ENRON-263012159341

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cc:
Subject: El Paso / ENA Deal Completely Terminated Now

El Paso, Enron Terminate $38 Million Mega-Deal

In a stunning announcement late yesterday, El Paso Natural Gas said it had reached a "mutual agreement" with Enron North America Corp. to terminate the $38 million negotiated mega-deal for 1.2 Bcf/d of capacity that the marketer had entered into in December. The negotiated arrangement covers three separate capacity agreements.

The decision to release Enron from the three capacity agreements was somewhat puzzling, given that Enron last week had asked to be let out of only one contract - the famed Block II agreement (614 MMcf/d) - due to the restrictions that FERC had placed on the delivery rights of the capacity. In a Jan. 27 letter, Enron notified El Paso of its intent to exit the Block II contract, but the letter didn't indicate that it wanted to terminate the Blocks I and III contracts. See Daily GPI, Feb. 3)

"They asked for it [to be released] and we agreed to it. It was a mutual agreement," said El Paso spokesman Mel Scott. The capacity agreements will be

terminated on Jan.
31. Afterward, El Paso said it will hold open season from Feb. 7 to Feb. 14 for the
capacity.

"It is unfortunate that the recent FERC order modified the capacity rights in a way that
will not allow the capacity to serve the purpose that Enron North America originally
intended when they outbid the prearranged transactions. In the interest of fairness and
good customer relations, we have agreed to release them from the contracts," said John
W. Somerhalder II, president of El Paso Energy's Pipeline Group.

El Paso Natural Gas has asked FERC to reconsider the mid-January order that
essentially has reduced the commercial value of the Block II firm transportation
capacity that Enron had agreed to acquire. With the collapse of its contract deal with
Enron, it couldn't be immediately determined whether El Paso will continue to pursue
rehearing.

El Paso is seeking rehearing after being rebuffed by FERC in its request to stay the
provision in the order restricting delivery rights of Block II capacity.

The pipeline is seeking a reversal of a decision in which FERC said El Paso's 1996
turned-back capacity settlement bars El Paso from marketing Block II capacity on a
primary basis to any delivery point other than the one at Pacific Gas &
Electric-Topock, AZ. That ruling stripped the Block II capacity of primary delivery
access to the Southern California Gas-Topock delivery point, which is the most
sought-after by shippers of San Juan Basin gas.

It was a major blow to El Paso and Enron, which had contracted for the Block II